SME IPO Apps Trap Retail

The Allotment *Odds Myth*

Retail guides in **2026** claim specific apps improve SME IPO odds. In reality, ASBA allotment is randomized by registrars, not brokers. App UI cannot bypass mathematical lot lotteries or protect you from post-listing dumps.

You Are *The Exit* Liquidity

Promoters and institutional operators leverage app-driven retail hype to dump overvalued micro-cap stock. Once listing gains evaporate, retail buyers are left holding illiquid minimum lot sizes exceeding **₹100,000** with zero institutional bids.

Circuit Filters

Freeze Capital

SME exchanges enforce strict daily circuit filters. When institutional selling triggers a **5% lower circuit**, order books collapse into zero bid depth. Retail investors cannot sell, watching capital erode daily while trapped in rigid lot sizes.

The Compounding *Illiquidity Trap*

Tying up **₹120,000+** per SME lot based on inflated Grey Market Premiums creates severe opportunity drag. Over **65%** of SME IPOs trade below offer price within 12 months, wiping out retail gains from rare allotments.

Cap Exposure Under 2%

Never apply for SME IPOs based on app promotions or unregulated GMP. Cap total SME equity exposure at under **2%** of your portfolio, and verify institutional market-maker bid depth before executing any post-listing buy orders.

The Essential *Pre-Trade Audit*

First, audit promoter holding lock-ins and debt-to-equity ratios. Second, verify market-maker inventory depth post-listing. Third, ensure the minimum lot cost does not exceed **2%** of liquid net worth before placing an ASBA block.

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